

STATEMENT OF ADVICE

Prepared for Robert and Francesca

Advice Type: Comprehensive Date: 20 April 2026

Prepared by

<Your Company Name>

Australian Financial Services Licensee

ABN: XX XXX XXX XXX | AFSL No. XXXXXX

enquiries@velafinancial.com.au

This Statement of Advice is current for 30 days from the date of issue. If you do not act within this period, contact us before proceeding as circumstances or legislation may have changed.

Cover Letter

20 April 2026

Dear Robert and Francesca,

Thank you for entrusting us with your financial planning needs during this significant transition in your lives. Robert recently suffered a stroke and is living with dementia, requiring a transition to residential aged care. Francesca remains in the family home, which you have both expressed a non-negotiable desire to retain. While you are asset rich due to your property and superannuation, your current cashflow is insufficient to meet the ongoing costs of care without restructuring your assets. The strategy outlined in this advice is designed to protect Robert's residential aged care placement, preserve the family home as a legacy asset, and ensure Francesca's financial security — without compromise on any stated objective. Our goal is to provide you with a comprehensive strategy that addresses your immediate needs while supporting your long-term financial well-being.

Enclosed is your Statement of Advice and related documents, prepared based on our recent discussions. Please review and contact us with any questions or if you feel we've missed or misunderstood any information.

This advice is a crucial first step in achieving your financial goals. Regular reviews of your strategy will be essential moving forward.

Note that this Statement of Advice is valid for 30 days from the date of this letter. After this period, please consult us before implementing any recommendations, as circumstances may have changed.

We're here to address any queries about this advice or other financial planning matters. Don't hesitate to reach out.

Your financial success is our priority, and we look forward to guiding you on this journey.

Best regards,

Your Financial Adviser

Authorised Representative — XXX Financial Planning Pty Ltd | AFSL No. XXXXXX

Statement of advice

Prepared for

Robert & Francesca

Prepared by

<Advisor name>

Authorised Representative Number: XXXXXX <Practice address>

Authorised Representative of

<Dealer Group>

ABN: XXXX Australian Financial Services Licensee Licence No. XXXX

Head office:

<Dealer Group Address>

20 April 2026

This Statement of Advice (SOA) is crucial. Read it carefully before making decisions. Our recommendations are based on the information you provided. Please inform us of any errors or omissions.

Incomplete information or limited scope may result in unsuitable recommendations. For recommended financial products, you'll receive a product disclosure statement to aid your decision.

Note: This advice is valid for 30 days. If not implemented within this period, it will need review.

Contents

Cover Letter

Contents

1 Executive Summary

Summary of Recommendations

Expected Outcomes

Fees Overview

Material Risks at a Glance

2 Scope of Advice

This advice covers:

This advice does not cover:

3 What We Know About You

Personal Details

Your Goals & Objectives

Your Risk Profile

Financial Position

Basis for Advice

4 Strategy Mechanics

Aged Care Strategy

Tax Optimisation Strategy

Wealth & Investment Strategy

5 Strategic Rationale & Alternatives Discarded

Why We Recommend This Strategy

Alternatives Discarded

Best Interests Duty — Safe Harbour Declaration

6 Mathematical Autopsy — Financial Waterfall

7 Consequences & Risks

Specific Risks in This Advice

General Investment & Advice Risks

Market Risk

Legislative Risk

Sequence of Returns Risk

Longevity Risk

Inflation Risk

Taxation Risk

8 Remuneration & Fees

Our Fee Structure

Commissions & Other Benefits

Conflicts of Interest

9 Ongoing Services

Annual Review

Portfolio Monitoring & Rebalancing

Legislative Update Notifications

Centrelink & Government Benefit Assistance

Termination

10 Implementation Schedule

11 Authority to Proceed

12 Adviser Declaration

Appendix A — Assumptions & Methodology

Methodology Notes

Appendix B — Standard Risk Definitions

*Market Risk · Legislative Risk · Inflation Risk · Sequence of Returns Risk · Longevity Risk · Concentration Risk ·
Currency Risk · Credit Risk · Liquidity Risk · Counterparty Risk · Interest Rate Risk · Behavioural Risk*

1 SECTION

Executive

Summary

SUMMARY OF RECOMMENDATIONS

FOR THE SHORT TERM — UP TO ONE YEAR

1. Pay the \$550,000 RAD in full -> eliminates \$43,782 in annual DAP interest and increases combined household Age Pension to \$62,447 per annum.

2. Notify Centrelink of illness-separated status and Robert's residential aged care entry -> secures \$62,447 combined pension from the first eligible fortnight.

FOR THE MEDIUM TERM — ONE TO FIVE YEARS

- 1. Maintain the family home as a debt-free asset while funding Francesca's \$45,000 annual lifestyle.
- 2. Ensure the sustainability of aged care fees through the structured drawdown of remaining liquid assets.

ESTATE PLANNING & LEGACY

- 1. Preserve the \$550,000 RAD as a refundable capital asset for the estate, projected to contribute to a combined terminal balance of \$638,887.

ONGOING REVIEW AND ADVICE

We propose annual reviews of your financial situation with us to ensure this strategy remains appropriate and to make any necessary adjustments as your circumstances change or legislative updates occur.

EXPECTED OUTCOMES

If we implement this strategy together, we anticipate the following outcomes based on your current circumstances and legislative frameworks:

Implementation will secure a combined Age Pension of \$62,447, eliminate \$43,782 in annual DAP interest, and preserve the family home as a debt-free asset.

We project this strategy to be sustainable for your defined medium-term horizon, after which a comprehensive review will be required.

FEES OVERVIEW

Our fees for preparing this document and guiding you through implementation are set out below. Full remuneration disclosure, including any commissions or other benefits received, is provided in Section 8 — Remuneration & Fees.

OUR FEE STRUCTURE

DESCRIPTION	VALUE
Upfront Advice Fee (incl. GST)	\$3,300.00
Ongoing Annual Advice Fee (incl. GST)	\$5,500.00
Commissions Received	Nil
Other Benefits	Nil

Full remuneration disclosure is provided in Section 8 — Remuneration & Fees.

RISKS IN OUR ADVICE

While this strategy has been engineered to protect your wealth and achieve your goals, all financial decisions carry inherent trade-offs. It is vital you understand the specific risks to this approach:

- Reduction in immediate household liquidity.
- Ongoing compliance with illness-separated reporting requirements.
- Potential for legislative changes to aged care funding models.

MARKET & LEGISLATIVE REALITY

Future changes to government legislation (including Age Pension rules and Aged Care fees) may impact the projections in this document.

The value and income of your investments and superannuation assets can fluctuate due to the natural ups and downs of the market.

Should your personal circumstances change, please contact us for a review before acting on this advice.

Actual returns are not guaranteed and could potentially be quite different from the projections we've outlined.

2 SECTION

Scope of Advice

Financial decisions are rarely just about numbers; they are about securing your peace of mind and protecting the people you care about. Every major life transition comes with financial complexity. Our role is to absorb that complexity so you can focus on what truly matters—your family, your well-being, and your future.

This document outlines the strategic pathways we have developed to protect your wealth and align it with your life's objectives. Specifically, this advice has been engineered to cover:

Your Financial Trajectory: A detailed, mathematical analysis of your cash flow, income, and asset longevity to ensure your lifestyle remains secure.

Aged Care Transition: Structuring the optimal way to fund residential aged care (including the Refundable Accommodation Deposit) while minimizing ongoing daily care fees and preserving family capital.

Centrelink Optimisation: Restructuring your asset and income base to legally and efficiently maximize your Age Pension entitlements.

Wealth & Superannuation Strategy: Optimizing your superannuation structure, investment trajectories, and debt management to build and protect your capital over the long term.

Tax-Effective Structuring: Modelling your tax position to identify structural efficiencies and protect your investable surplus from unnecessary leakage.

Estate Considerations: Strategic guidance on how today's financial decisions will impact the legacy and wealth you leave behind for your loved ones.

Where you will need specialized partners (What is outside this advice): No single professional can be an expert in everything. To ensure you receive the absolute highest standard of care, the following areas fall outside the scope of this document. We strongly recommend engaging the appropriate specialists to complete your protective network:

Legal Advice: While we structure your wealth with your legacy in mind, we cannot draft Wills, Enduring Powers of Attorney, or Guardianship documents. We recommend reviewing these with a qualified solicitor.

Tax Return Preparation: We provide forward-looking strategic tax modelling, but a registered Tax Agent or Accountant must handle your formal ATO lodgements and specific historical tax advice.

General & Health Insurance: The protection of your physical assets (home, contents, vehicles) and private health cover should be reviewed directly with your providers or a general insurance broker.

Specific Product Selection: This document focuses on the structural strategy of your wealth. Unless explicitly stated in the recommendations, this advice does not cover the selection of specific individual shares or managed funds.

A note on accuracy: This strategy is deeply personal and relies entirely on the information we have discussed. Please review this document carefully. If any of the personal details, goals, or financial figures we have captured are incomplete, please let us know immediately so we can ensure this strategy remains perfectly aligned with your life.

3

SECTION

What We Know About You

PERSONAL DETAILS

FIELD	CLIENT	PARTNER
Client Name	Robert	Francesca
Age	78	71
Marital Status	Partnered - Illness Separated	Partnered - Illness Separated
Homeowner	Yes	Yes and Yes
Private Health Cover	No	No
Target Retirement Age	—	—
Income (p.a.)	\$0.00	\$0.00
Risk Profile	Balanced	Balanced

YOUR CURRENT SITUATION

Robert recently suffered a stroke and is living with dementia, requiring a transition to residential aged care. Francesca remains in the family home, which you have both expressed a non-negotiable desire to retain. While you are asset rich due to your property and superannuation, your current cashflow is insufficient to meet the ongoing costs of care without restructuring your assets. The strategy outlined in this advice is designed to protect Robert's residential aged care placement, preserve the family home as a legacy asset, and ensure Francesca's financial security — without compromise on any stated objective.

WHAT YOU WOULD LIKE TO ACHIEVE

1. Retain the family home as a legacy asset.
2. Secure high-quality residential care for Robert.
3. Maintain \$45,000 annual living expenses for Francesca.
4. Maximise household Age Pension entitlements.

STRATEGIC CONSTRAINTS & CONSIDERATIONS

The primary constraint is your refusal to sell the family home, which is respected by utilizing superannuation and cash to fund the RAD. The strategy also respects your requirement to maintain \$45,000 in annual living expenses for Francesca.

YOUR RISK PROFILE & INVESTMENT APPROACH

Based on the information you provided, your investment risk profile has been assessed as: Balanced.

The strategy aligns with your Balanced risk profile by using liquid capital to eliminate a high-cost interest expense, effectively acting as a debt-reduction measure. This provides a high degree of certainty for Francesca's cashflow while maintaining exposure to growth assets through your remaining superannuation.

Our recommendations are structured to align with this profile. If this assessment does not reflect your attitude to risk, please advise us before implementing any recommendations.

FINANCIAL POSITION

ASSET / LIABILITY	CLIENT	PARTNER	JOINT
			ASSETS
Primary Residence	—	—	\$2,000,000.00
Cash & Bank Accounts	\$0.00	\$0.00	\$0.00
Shares & Investments	\$0.00	\$0.00	\$0.00
Investment Properties	\$0.00	\$0.00	\$0.00
Superannuation (Accumulation)	\$0.00	\$0.00	—
Superannuation (Pension)	\$450,000.00	\$450,000.00	—
Personal Effects	\$0.00	\$0.00	\$68,000.00
Combined Total Assets			\$2,968,000.00
			LIABILITIES
Mortgage (Primary Residence)	—	—	\$0.00
Investment Loans	\$0.00	\$0.00	\$0.00
Other Debt	\$0.00	\$0.00	\$0.00
Combined Total Liabilities			\$0.00
Combined Net Worth			\$2,968,000.00

BASIS FOR ADVICE

The advice within this Statement is built upon the financial details, goals, and risk profile you shared with us. This advice relies entirely on the personal circumstances and financial information you have provided to us. We have not independently verified this information. If any detail is incorrect, has changed, or has been omitted, you must notify us before acting on this advice, as our recommendations may no longer be appropriate.

03 OUR RECOMMENDATIONS

Strategy & Recommendations

HOW THE STRATEGY WORKS

AGED CARE — STRATEGY & RAD RECOMMENDATION

We recommend paying the \$550,000 Refundable Accommodation Deposit (RAD) in full. This recommendation is appropriate because it eliminates \$43,782 in annual interest costs and satisfies your primary objective of retaining the family home. By utilising your existing superannuation and cash reserves, we can fully fund the RAD and completely protect the family home as you requested.

AGED CARE — FUNDING THE RAD (SOURCES & APPLICATION)

SOURCE OF FUNDS	AMOUNT	APPLICATION OF FUNDS	AMOUNT
Full commutation of Robert's Account-Based Pension	\$450,000.00	Refundable Accommodation Deposit (RAD)	\$550,000.00
Partial commutation of Francesca's Account-Based Pension	\$100,000.00		

AGED CARE — IMPLEMENTATION

1. Review and sign the Resident Agreement with the aged care facility.
2. Arrange for the transfer of \$550,000 from superannuation and cash reserves to the facility.
3. Obtain a receipt for the RAD payment and provide a copy to Centrelink to update the means-tested fee assessment.

AGED CARE — BENEFITS

- elimination of the \$119.95 daily DAP interest charge
- preservation of capital via the government-guaranteed RAD refund mechanism
- exemption of the RAD balance from the Age Pension asset test

AGED CARE — RISKS

- capital is locked within the aged care facility and is not available for other uses
- the facility retains 2% per annum (up to 10%) of the RAD as a contribution

AGE PENSION — RECOMMENDATION

We recommend notifying Centrelink of Robert's entry into care to trigger the 'illness-separated' assessment. This restructure, combined with the reduction in assessable assets following the RAD payment, increases your combined Age Pension to \$62,447 per annum.

AGE PENSION — IMPLEMENTATION

1. Lodge the SA457 (Aged Care — Income and Assets Assessment) with Services Australia to formally notify Robert's entry into residential care and trigger the means-tested fee assessment.
2. Update Robert's Centrelink record to reflect 'Illness Separated' marital status, which activates the more favourable single-rate pension thresholds.
3. Report the reduction in superannuation and cash balances following the RAD payment to ensure the correct post-RAD pension rate is applied from the first eligible fortnight.
4. Confirm with Services Australia that the Daily Accommodation Payment (DAP) charges have been replaced by a nil amount following RAD receipt confirmation from the facility.

AGE PENSION — BENEFITS

- the Part Age Pension income stream of \$62,447 per annum
- access to the Pensioner Concession Card
- the increased means-test thresholds under the illness-separated couple assessment

AGE PENSION — RISKS

- ongoing Centrelink reporting obligations and asset value disclosure requirements
- the risk of pension reduction or cancellation if superannuation balances or investment returns improve materially

CASH FLOW — RECOMMENDATION

Your household cashflow will be underpinned by the combined Age Pension of \$62,447 per annum. This income is structured to cover Francesca's ongoing living expenses of \$45,000 and Robert's basic daily care fees. Although your Age Pension of \$62,447 per annum is assessable income, the Seniors and Pensioners Tax Offset (SAPTO) fully offsets the resulting tax liability, resulting in nil tax payable. Sustainability is achieved by eliminating the \$43,782 annual DAP cost through the upfront RAD payment. Francesca's lifestyle is protected by ensuring the remaining liquid assets and the significantly increased pension provide a stable income base without the need to draw down aggressively on capital or sell the family home.

ESTATE — RECOMMENDATION

This strategy is designed to preserve the family home as a legacy asset for your three children and two grandchildren. In the event of Robert's passing, the \$550,000 RAD is returned to the estate, net of the facility's retention of 2% per annum for up to five years of occupancy (a maximum of 10% of the RAD balance). This means the estate retains the substantial majority of the RAD — projected, when combined with remaining assets, to approximately \$638,887. The RAD is not a cost but a capital transfer, and the retention is a capped, time-limited charge — not an open-ended fee. This preservation of capital, alongside the protection of the home, ensures your estate objectives are met. We also recommend updating your Wills and Enduring Powers of Attorney immediately given Robert's changed health status.

AGED CARE FEE ASSESSMENT — BEFORE & AFTER OPTIMISATION

ITEM	BEFORE STRATEGY	AFTER STRATEGY
NCCC CALCULATION WATERFALL		
Assessable Assets (ATA)	\$484,000	\$484,000
Asset Free Threshold	\$536,384	\$536,384
Calculated Asset-Tested Amount	\$0	\$0
Assessable Income (ITA)	\$24,728.70	\$20,237.20
Income Free Threshold	\$138,340.80	\$138,340.80
Calculated Income-Tested Amount	\$0	\$0
Uncapped Daily NCCC	\$0	\$0
Final Daily NCCC (after cap)	\$0	\$0
DAILY CARE FEES		
Daily Accommodation Payment (DAP)	\$119.95	\$0
Hotelling Supplement Contribution (HSC)	\$22.15	\$22.15
Non-Clinical Care Contribution (NCCC)	\$0	\$0
Basic Daily Care Fee	\$66.80	\$66.80
ANNUAL OUTCOMES		
Total Annual Care Cost	\$76,246.75	\$32,466.75
Age Pension Entitlement (annual, per person)	\$22,331.40	\$31,223.40
TAX POSITION		
Taxable Income	\$0	\$0
Total Tax Payable	\$0	\$0
Medicare Levy	\$0	\$0
True Cash in Hand	\$0	\$0

All figures are outputs of a deterministic calculation. Government rates, thresholds, and fee parameters are sourced from the current rate tables, updated in accordance with official legislative instruments. Rates are current as at 20 April 2026. Refer to the Appendix for full methodology notes.

Strategic Rationale

WHY THIS STRATEGY IS IN YOUR BEST INTEREST

The recommended strategy prioritises the protection of the family home while addressing the immediate need for residential aged care funding. By paying the \$550,000 RAD, we eliminate \$43,782 in annual interest costs (DAP), which would otherwise deplete your liquid assets rapidly. This capital transfer also triggers an increase in your combined Age Pension to \$62,447, significantly improving your net cashflow position.

Mathematically, the strategy converts assessable liquid assets into an exempt asset (the RAD) for Age Pension purposes, while Robert's entry into care allows for an illness-separated assessment. This dual benefit ensures Francesca's \$45,000 living expenses are sustainable and the family home remains entirely unencumbered for future generations.

ALTERNATIVES CONSIDERED AND DISCARDED

1. Sell the Family Home:

- rejected as it contradicts your primary objective of retaining the home at all costs
- selling would lead to loss of the primary legacy asset

2. Pay the Daily Accommodation Payment (DAP):

- the \$43,782 annual interest expense is unsustainable relative to your income
- paying DAP would rapidly erode your liquid reserves without capital recovery

Best interest duty: In providing this advice, we have complied with the best interest duty under s961B of the *Corporations Act 2001* (Cth). We have taken into account all information known to us about the client's relevant circumstances, conducted a reasonable investigation into products that might achieve the client's objectives, and based our advice on the results of that investigation. The alternatives described above were specifically evaluated and discarded for the reasons stated, in accordance with s961G (appropriate advice) and s961H (civil liability — appropriate advice).

05 RISK DISCLOSURE

Consequences & Risks

MATERIAL RISKS OF THE RECOMMENDED STRATEGY

The primary consequence of this strategy is the reduction in available cash reserves, as \$550,000 is transferred to the aged care facility. This is mitigated by the government guarantee on the RAD and the fact that it is refundable to the estate. There is also a risk that future changes to the Age Pension or aged care legislation could impact the effectiveness of this structure.

STANDARD RISK DISCLOSURES

Legislative and regulatory risk: The benefits, fees, and thresholds described in this SOA are subject to change by Commonwealth legislation, regulation, and ministerial determination. Changes to Age Pension means-testing thresholds, superannuation preservation rules, aged care fee structures, or taxation law may materially alter projected outcomes. The adviser cannot guarantee the legislative environment will remain unchanged.

Inflation and real return risk: All projections are expressed in today's dollars unless stated otherwise. Inflation erodes the purchasing power of fixed amounts such as government pensions, fee caps, and savings balances. The real value of projected outcomes may be materially lower than nominal values presented.

Sequencing risk: The order in which investment returns are realised can significantly affect the sustainability of drawdown strategies. Poor returns in early retirement or during transition to aged care can permanently impair a portfolio's ability to fund ongoing costs, even if long-run average returns are consistent with projections.

Health and longevity risk: Projections assume a specified planning horizon. If the client lives significantly longer than modelled, additional costs — including ongoing aged care fees, medical expenses, and living costs — may not be fully funded by the recommended strategy.

Information risk: This advice is based on information provided by the client. If any information is incomplete, incorrect, or has changed, the advice may be inappropriate. The client must notify the adviser of any material change in circumstances before acting.

06 TRANSPARENCY — RG175 / RG97

Remuneration & Fees

ADVICE FEE SCHEDULE

The following fees are payable for the advice in this Statement of Advice. All amounts are inclusive of GST where applicable.

FEE TYPE	AMOUNT (INCL. GST)	WHEN PAYABLE
Initial / Upfront Advice Fee Covers preparation of this SOA, strategy modelling, client meetings, and implementation coordination.	\$3,300	Upon signing Authority to Proceed
Ongoing Annual Service Fee Covers annual review of strategy, monitoring of legislative changes, and ongoing access to adviser.	\$5,500 p.a.	Annually in advance
Total First-Year Cost	\$8,800	

CONFLICTS OF INTEREST & REMUNERATION DISCLOSURE

No conflicted remuneration: The fees disclosed above represent the total remuneration receivable by the adviser and the advice licensee in connection with this advice. We do not receive commissions, volume bonuses, soft-dollar benefits, or any other form of conflicted remuneration from product issuers, in accordance with the prohibition under Part 7.7A of the *Corporations Act 2001* (Cth).

Right to withdraw: You may instruct us to cease implementing this advice at any time before implementation is complete. Where an upfront fee has been paid and implementation has not commenced, we will refund the fee less any reasonable costs already incurred.

Ongoing service agreement: The ongoing annual fee is payable under a separate Ongoing Fee Arrangement (OFA) requiring annual renewal under the *Financial Sector Reform (Hayne Royal Commission Response) Act 2020*. You will receive a Fee Disclosure Statement and renewal notice annually. You may cancel the OFA at any time. A separate Ongoing Fee Arrangement document will be provided to you prior to implementation of this advice. The ongoing annual fee described above is not payable until that document has been signed and returned.

ASIC RG97: Where this SOA involves managed investment products, fees above are adviser service fees only and exclude each product's Management Expense Ratio (MER) or indirect cost ratio. Product-level fees are disclosed in the relevant Product Disclosure Statement (PDS).

07 CLIENT INSTRUCTION

Authority to Proceed

By signing this Authority to Proceed, you confirm that you have read and understood this Statement of Advice in its entirety, that you accept the recommendations made, and that you authorise your adviser to implement the strategy as described. You acknowledge that you have been given the opportunity to ask questions and that all questions have been answered to your satisfaction.

I/We, the client(s) named in this Statement of Advice, confirm the following:

1. I/We have read and understood this Statement of Advice dated 20 April 2026.
2. I/We acknowledge that the advice is based on the personal circumstances and financial information I/we have provided, and that it is my/our responsibility to ensure that information is accurate and complete.
3. I/We acknowledge that if my/our circumstances change, I/we must notify my/our adviser immediately, as this advice may no longer be appropriate.
4. I/We understand that the fees disclosed in Section 06 are payable in connection with this advice, and I/we authorise payment of those fees as described.
5. I/We authorise my/our adviser to proceed with implementing the recommendations in this Statement of Advice.

Client signature

Robert

Date

Partner / joint applicant signature

Date

Adviser signature

Authorised Representative

Date

Returning a signed copy of this Authority to Proceed constitutes a legally binding instruction to implement the recommendations described in this Statement of Advice. If you choose not to proceed with all recommendations, discuss your specific instructions with your adviser before signing. This SOA expires 30 days from the date of preparation unless an extension is agreed in writing.

A APPENDIX

Mathematical Detail & Assumptions

CALCULATION ENGINE METHODOLOGY

Aged care fee calculations are performed using the Non-Clinical Care Contribution (NCCC) and Hotelling Supplement Contribution (HSC) formula prescribed under the *Aged Care Act 2024* (Cth) and the *Aged Care Rules 2025* (Cth), which commenced on 1 November 2025. The calculation applies the current government-set asset free threshold, income free threshold, tiered asset levy rates (17.5% Tier 1; 7.8% Tier 2; 7.8% Tier 3), income taper rate (50.0%), daily caps (NCCC: \$107.32/day; HSC: \$22.15/day), and a lifetime cap of \$137,917.01, sourced from the live

rate table current as at 20 April 2026. Robert entered residential care on 20 April 2026 and is assessed under the post-1 November 2025 framework as a non-grandfathered resident.

Tax calculations are performed using the marginal rate schedule and Low Income Tax Offset (LITO) parameters sourced from the current rate table as at 20 April 2026. Medicare Levy is calculated at the statutory rate. SAPTO eligibility is applied where indicated. Figures exclude the Medicare Levy Surcharge unless explicitly modelled.

Wealth projections are performed using client income, salary sacrifice elections, mortgage repayments, and superannuation contribution parameters. Projections assume rates and legislative parameters are constant at current levels unless stated otherwise.

GOVERNMENT RATE SOURCES

All government rates, thresholds, and fee parameters are sourced from official Commonwealth legislative instruments, Department of Health and Aged Care (DoHAC) and Department of Social Services (DSS) rate tables, and Services Australia publications current as at 20 April 2026. These rates are subject to indexation and legislative change. The adviser is responsible for ensuring rate tables are current at the time of advice delivery.

Key sources: *Aged Care Act 2024* (Cth); *Aged Care Rules 2025* (Cth); *Social Security Act 1991*; *Income Tax Assessment Act 1997*; ASIC Regulatory Guides RG175, RG244, RG271, RG274; *Financial Planners and Advisers Code of Ethics 2019*.

MODELLING ASSUMPTIONS

The following assumptions apply throughout this document unless a specific figure is stated: all projections use constant (nominal) dollars; inflation is not explicitly modelled unless described; tax rates and thresholds are assumed constant at current levels; investment returns are not projected (engines calculate point-in-time position only); government means-tested benefits are calculated on a current-year basis and do not account for future changes to the client's asset or income position; fees and costs shown are estimates only and may vary.

Narrative sections in this document were drafted under compliance and privacy guardrails and reviewed before delivery. All content must be verified by the responsible financial adviser before use in a formal client document.

SYSTEM CONSTANTS & GLOBAL RULES

The following rate parameters were active at the time this document was generated. All values are sourced from the live rate tables as at 20 April 2026.

VALUE	DESCRIPTION
7.96%	Maximum Permissible Interest Rate (MPIR)
\$31,223.40	Maximum Base Age Pension - Single
\$47,070.40	Maximum Base Age Pension - Couple
1.25%	Deeming Rate - Lower Tier
3.25%	Deeming Rate - Upper Tier
\$64,200	Deeming Threshold - Single
\$106,200	Deeming Threshold - Couple
\$300	Centrelink Work Bonus - Fortnightly
\$321,500	Assets allowed for FULL Pension - Single Homeowner
\$481,500	Assets allowed for FULL Pension - Couple Homeowner
\$579,500	Assets allowed for FULL Pension - Single Non-Homeowner
\$739,500	Assets allowed for FULL Pension - Couple Non-Homeowner
\$722,000	Assets where Pension CUTS OFF - Single Homeowner
\$1,085,000	Assets where Pension CUTS OFF - Couple Homeowner
\$980,000	Assets where Pension CUTS OFF - Single Non-Homeowner
\$1,343,000	Assets where Pension CUTS OFF - Couple Non-Homeowner
\$3	Pension reduction per \$1k assets - Single (Fortnightly)
\$1.50	Pension reduction per \$1k assets - Couple (Fortnightly)
\$1,000	Asset reduction block size (\$1k)
\$78	Annual pension reduction per \$1k assets - Single
\$39	Annual pension reduction per \$1k assets - Couple
50.00%	Pension reduction per \$1 of excess income
\$218	Income allowed before pension reduces - Single (Fortnightly)
\$380	Income allowed before pension reduces - Couple (Fortnightly)
\$66.80	Aged Care Basic Daily Fee
\$72.30	Maximum Accommodation Supplement (Gov Subsidy)

VALUE	DESCRIPTION
\$22.15	Hotelling Supplement Contribution Cap
\$107.32	Non-Clinical Care Contribution Cap (Daily)
\$137,917.01	Lifetime Cap for Non-Clinical Care
\$214,884	Home Exemption Cap for Aged Care Assets
\$64,500	Minimum liquid assets to leave client after RAD
\$214,884	Means Test Asset Tier 1 - Upper Limit
\$258,000	Means Test Asset Tier 2 - Lower Threshold
\$361,366.66	Means Test Asset Tier 2 - Upper Limit
\$536,384	Means Test Asset Tier 3 - Lower Threshold
17.50%	Means Test Asset Levy Rate - Tier 1
7.80%	Means Test Asset Levy Rate - Tier 2
7.80%	Means Test Asset Levy Rate - Tier 3
\$35,313.20	Means Test Income Tier 1 Lower Threshold - Single
\$87,947.60	Means Test Income Tier 1 Upper Limit - Single
\$101,105	Means Test Income Tier 2 Lower Threshold - Single
\$117,230.20	Means Test Income Tier 2 Upper Limit - Single
\$141,252.80	Means Test Income Tier 3 Lower Threshold - Single
\$34,585.20	Means Test Income Tier 1 Lower Threshold - Couple
\$87,219.60	Means Test Income Tier 1 Upper Limit - Couple
\$101,105	Means Test Income Tier 2 Lower Threshold - Couple
\$117,230.20	Means Test Income Tier 2 Upper Limit - Couple
\$138,340.80	Means Test Income Tier 3 Lower Threshold - Couple
50.00%	Means Test Income Assessment Rate (50 cents per dollar)
\$66.80	Basic Daily Fee (100% of basic pension)
\$536,384	New Asset Free Area for NCCC (Fourth Asset Threshold)
\$141,252.80	New Income Free Area for NCCC - Single (Fourth Income Threshold)

VALUE	DESCRIPTION
\$138,340.80	New Income Free Area for NCCC - Couple (Fourth Income Threshold)
2026-06-30	Date the current Centrelink and Aged Care rules expire
Min \$0; Max \$18,200; Base \$0; Rate \$0	Tax-free threshold
Min \$18,200; Max \$45,000; Base \$0; Rate 16.00%	16c for each \$1 over \$18200
Min \$45,000; Max \$135,000; Base \$4,288; Rate 30.00%	30c for each \$1 over \$45000
Min \$135,000; Max \$190,000; Base \$31,288; Rate 37.00%	37c for each \$1 over \$135000
Min \$190,000; Max \$999,999,999; Base \$51,638; Rate 45.00%	45c for each \$1 over \$190000
Min \$0; Max \$37,500; Base \$700; Rate \$0	Maximum LITO entitlement
Min \$37,500; Max \$45,000; Base \$700; Rate 5.00%	Reduces by 5c for every \$1 over \$37500
Min \$45,000; Max \$66,667; Base \$325; Rate 1.50%	Reduces by 1.5c for every \$1 over \$45000
Min \$0; Max \$27,222; Base \$0; Rate \$0	No Medicare Levy payable
Min \$27,222; Max \$34,027; Base \$0; Rate 10.00%	10% of the amount over \$26000
Min \$34,027; Max \$999,999,999; Base \$0; Rate 2.00%	Flat 2% of entire taxable income
Min \$0; Max \$43,020; Base \$0; Rate \$0	Seniors (Age Pension age) No Levy
Min \$43,020; Max \$53,775; Base \$0; Rate 10.00%	Seniors 10% phase-in over \$41089
Min \$53,775; Max \$999,999,999; Base \$0; Rate 2.00%	Seniors Flat 2% of entire income
Min \$0; Max \$999,999,999; Base \$0; Rate 30.00%	Standard Company Tax Rate
Min \$0; Max \$999,999,999; Base \$0; Rate 25.00%	Small Business Company Tax Rate
	Maximum SAPTO Single

VALUE	DESCRIPTION
Min \$0; Max \$34,919; Base \$2,230; Rate \$0	
Min \$34,919; Max \$52,759; Base \$2,230; Rate 12.50%	Reduces by 12.5c per \$1 over 34919

20-YEAR CASH FLOW PROJECTION

YEAR	AGE (PRIMARY / SURVIVOR)	PRIMARY PENSION	PARTNER PENSION	TOTAL INFLOWS	ABP DRAWDOWN	TOTAL OUTFLOWS	CASH & INVESTMENTS
Year 1	78.0 / 71.0	\$31,223.40	\$31,223.40	\$62,446.80	\$54,000.00	\$77,466.75	\$41,318.85
Year 2	79.0 / 72.0	\$32,160.10	\$32,160.10	\$64,320.20	\$18,825.60	\$79,790.75	\$47,354.34
Year 3	80.0 / 73.0	\$33,124.91	\$33,124.91	\$66,249.81	\$21,884.13	\$82,184.48	\$56,502.03
Year 4	81.0 / 74.0	\$34,118.65	\$34,118.65	\$68,237.30	\$21,573.38	\$84,650.01	\$65,362.47
Year 5	82.0 / 75.0	\$35,142.21	\$35,142.21	\$70,284.42	\$21,267.04	\$87,189.51	\$73,907.88
Year 6	83.0 / 76.0	\$36,196.48	\$36,196.48	\$72,392.96	\$20,965.04	\$89,805.19	\$82,108.33
Year 7	84.0 / 77.0	\$37,282.37	\$37,282.37	\$74,564.74	\$20,667.34	\$92,499.35	\$89,931.53
Year 8	85.0 / 78.0	\$38,400.84	\$38,400.84	\$76,801.69	\$26,194.97	\$95,274.33	\$103,513.09
Year 9	86.0 / 79.0	\$39,552.87	\$39,552.87	\$79,105.74	\$25,267.67	\$98,132.56	\$116,339.16
Year 10	87.0 / 80.0	\$40,739.46	\$40,739.46	\$81,478.91	\$24,373.19	\$101,076.54	\$128,381.61
Year 11	— / 81.0	\$0.00	\$0.00	\$0.00	\$18,285.85	\$41,100.36	\$638,886.96
Year 12	— / 82.0	\$0.00	\$0.00	\$0.00	\$18,026.19	\$42,333.37	\$651,454.57
Year 13	— / 83.0	\$0.00	\$0.00	\$0.00	\$17,770.22	\$43,603.37	\$663,158.71
Year 14	— / 84.0	\$0.00	\$1,064.72	\$1,064.72	\$17,517.88	\$44,911.47	\$675,039.64
Year 15	— / 85.0	\$0.00	\$2,908.99	\$2,908.99	\$22,203.17	\$46,258.81	\$693,126.56

YEAR	AGE (PRIMARY / SURVIVOR)	PRIMARY PENSION	PARTNER PENSION	TOTAL INFLOWS	ABP DRAWDOWN	TOTAL OUTFLOWS	CASH & INVESTMENTS
Year 16	— / 86.0	\$0.00	\$4,310.28	\$4,310.28	\$21,417.17	\$47,646.58	\$711,479.88
Year 17	— / 87.0	\$0.00	\$5,734.62	\$5,734.62	\$20,659.01	\$49,075.97	\$730,125.38
Year 18	— / 88.0	\$0.00	\$7,182.74	\$7,182.74	\$19,927.68	\$50,548.25	\$749,088.80
Year 19	— / 89.0	\$0.00	\$8,655.41	\$8,655.41	\$19,222.24	\$52,064.70	\$768,395.85
Year 20	— / 90.0	\$0.00	\$10,474.84	\$10,474.84	\$22,662.16	\$53,626.64	\$792,780.59